

FORE School of Management, says the negotiations for the India-UK FTA are advancing at a much faster pace than other such trade talks. "I expect it to be concluded by Diwali," he says.

This deal could also have an impact on other negotiations. For instance, non-trade issues in the negotiations are being seen as a key monitorable, and these could possibly set a precedent for other trade talks. Dhar notes that issues like labour standards and environment still have to be agreed upon. "India hasn't endorsed any deal on labour standards or the environment till now," he points out.

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Singh of FORE School of Management believes that in any trade deal, India needs to protect its own policy space in terms of non-trade issues such as labour and environment standards, digital trade, where it does not have any domestic regulations. "We must ensure that we do not become a prisoner of a trade agreement. We should refrain from negotiating trade deals that curtail our domestic policy sovereignty in international trade deals," he says.

Clearly, the India-UK trade deal would have ramifications beyond bilateral trade and investment. **BT**

@surabhi_prasad

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A Concrete Step

Ambuja Cements' deal to buy Sanghi Industries opens up new markets and a chance to ramp up capacity for the Adani Group's cement play

BY KRISHNA GOPALAN

► BILLIONAIRE INDUSTRIALIST

Gautam Adani-owned Ambuja Cements announced a deal to buy Sanghi Industries for ₹5,000 crore in early August. From a long-term strategic perspective, Ambuja Cements has a lot to gain from the acquisition of one of the top cement producers in western India. While expanding capacity or gaining a stronger foothold in a particular region (in this case, western and central India) is important for the power-to-ports conglomerate, what is even more critical is the capacity to serve coastal markets.

Sanghi's cement factory, located in Gujarat's Kutch region, is India's largest single-location cement and clinker unit by capacity, per a statement from Ambuja. The acquisition also includes a captive jetty and a power plant. This will help Ambuja smoothly transport the commodity to the coastal parts of Maharashtra, Karnataka and Kerala. Currently, Sanghi has a clinker (an essential component in producing cement) capacity of 6.6 million tonnes per annum (mtpa), a cement manufacturing capacity of 6.1 mtpa, and most importantly, reserves of 1 billion tonnes of limestone, a key raw material. It also has a bulk cement terminal each at Navlakhi Port in Gujarat and Dharamtar Port in Maharashtra, apart from a network of 850

dealers and a presence in Gujarat, Madhya Pradesh, Rajasthan, Maharashtra and Kerala, which will further strengthen Ambuja's presence in these regions. The Adani Group's large presence in ports will also prove to be a strategic advantage.

Following the deal, the group's cement production capacity will increase to 73.6 mtpa from 67.5 mtpa currently, taking it closer to the 140 mtpa capacity of the country's largest cement manufacturer, UltraTech Cement. The Adani Group bought Ambuja and ACC for \$10.5 billion last June while the deal to acquire Sanghi is its first significant action in the space since then. Analysts say that back-of-the-envelope calculations reveal that the reserves of 1 billion tonnes of limestone translate into 600 million tonnes of clinker. And assuming that the life of a plant is 40 years, it can produce 15 mtpa of cement each year. Clearly, the acquisition has been prompted by the large limestone reserves, they say.

The complementary nature of the deal speaks of the group's long-term view in cements. Deven Choksey, Promoter and MD of wealth management firm KR-Choksey Group, cites the Adani Group's presence in segments such as logistics, energy and limestone reserves as competitive advantages. Since acquiring